small group of people under the guidance of Harry Dexter White were working feverishly on their own plan, which, although it differed from Keynes's plan in many ways, covered the same ground and had the same basic objectives.

As Principal Analyst in the Division of Monetary Research and Statistics, and later as Director of Monetary Research at the US Treasury, White's main concern for several years had been monetary problems. He soon developed a considerable intellectual ascendancy over Morgenthau, who came to rely on him more than anybody else in monetary and financial matters. International cooperation, stable exchange rates, and a monetary system based on gold were uppermost on his mind when he started working on post-war monetary planning. The instrument to avoid unwanted repercussions of economic disturbances in a world in a constant state of flux would be an International Stabilization Fund. A week after the 'day that would live in infamy', the Japanese attack on Pearl Harbour on December 7, 1941, Morgenthau called White and asked him to prepare a memorandum for setting up an Inter-Allied Stabilization Fund. Morgenthau had in mind a Fund which would give monetary aid to the Allies during the war and provide the basis for post-war international monetary stabilization arrangements and also provide a post-war international currency. Morgenthau had immense faith in White's abilities. As he put it, '…I want it in one brain and I want it in Harry White's brain.'[2]

White immediately went to work and two weeks later in a twelve-page memorandum outlined the two major tasks that needed to be undertaken in the international monetary and banking field: 1) provision of the means, instrument, and procedure to stabilize foreign exchange rates and; 2) establishment of an agency to provide capital for economic reconstruction and for meeting short-term capital necessary to increase the volume of foreign trade when required. White recommended two separate institutions: an Inter-Allied Bank and an Inter-Allied Stabilization Fund. The specific objectives of the Fund, would be among other things, the stabilization of foreign exchange rates, establishment of a 'costless' clearing house for foreign exchange, stability of price levels, reduction of foreign exchange controls, and elimination of multiple currency and bilateral clearing arrangements. White and his assistants at the Treasury continued to refine and elaborate the proposals over the next year and a half. On May 8, 1942,